



WHITE PAPER

# How States and Regions Can Accelerate Industry AI Adoption

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## Introduction

Whether states win or fall behind in the AI economy will depend largely on their small and medium-sized enterprises (SMEs). These firms are the backbone of state economies, accounting for 99.9% of U.S. businesses, employing nearly half of the workforce, and contributing 43.5% of GDP.<sup>1</sup> As artificial intelligence reshapes how businesses operate and compete, broad-based adoption, especially by SMEs, will be critical to driving higher productivity, wage growth, and competitiveness for states.

Despite this, many businesses remain ill-equipped to adopt and scale these technologies. Large firms in leading metropolitan hubs are rapidly integrating AI, but adoption among SMEs remains uneven: nationally, barely one in six SMEs currently uses AI, and few have concrete plans for future adoption.

For states and regions—especially those whose economies depend on SMEs—this readiness gap presents a growing economic risk. Slow AI adoption threatens to widen geographic divides, erode competitiveness, and put pressure on local job bases. Without targeted action, many mid-sized cities and rural communities will fail to meaningfully participate in the AI economy.

Economic and workforce development leaders recognize this challenge, but are not yet fully prepared to respond: only 6% of states have a defined plan to monitor and act on AI's impact.<sup>2</sup> The barrier is not ambition, but execution. Early efforts have focused on awareness and planning; the next phase requires hands-on enablement at scale, particularly for SMEs, to ensure AI-driven growth is broadly shared rather than concentrated in a narrow set of players and geographies.

1. U.S. Small Business Administration Office of Advocacy, “Advocacy Releases Frequently Asked Questions About Small Businesses 2026”, February 2026. <https://advocacy.sba.gov/2026/02/03/advocacy-releases-frequently-asked-questions-about-small-businesses-2026/>.
2. BCG AI Impact on States survey, 2025.

## Where states stand today: The cost of sluggish AI adoption

Only about 17% of enterprises with fewer than 100 employees report using AI today, roughly half the rate of larger enterprises.<sup>3</sup> Uncertainty about future adoption has also remained high and largely unchanged for the past two years.<sup>4</sup> Experimentation and adoption are accelerating among larger organizations, but many SMEs remain stuck at the starting line.

For SMEs, AI adoption can look like a family-owned agribusiness using a predictive model to forecast crop performance with 90% accuracy, or a small industrial manufacturer deploying a scheduling optimizer that fully eliminates overtime—previously running at 30–50 hours per week—while improving on-time delivery by 15 percentage points.<sup>5</sup> These are not abstract technology upgrades. They are operational improvements that drive measurable productivity gains and help SMEs compete in an AI economy where larger companies are already pulling ahead. For businesses operating on thin margins, even modest gains can be decisive.

State leaders are increasingly concerned about the implications of SMEs' stagnation in AI adoption. Eighty percent warn that without targeted intervention, the economic consequences of limited AI adoption could be “severe” or “significant,” ranging from reduced competitiveness to firm closures or relocations.<sup>6</sup> For local and regional economies that depend heavily on SMEs, these risks are particularly acute.

### State leaders see major risks to their economies if insufficient action is taken to support private-sector AI adoption



Source: BCG AI Impact on States survey.

3. US Census Bureau, Business Trends and Outlook Survey, February 2026. <https://www.census.gov/hfp/btos/data>.  
4. US Census Bureau, Business Trends and Outlook Survey, December 2025. <https://www.census.gov/hfp/btos/data>.  
5. BCG interviews with company leaders and public-sector clients.  
6. BCG AI Impact on States survey.

For most SMEs, adoption has stalled not because of a lack of interest, but because persistent barriers make it difficult to move from experimentation to scaled impact. State leaders point to three systemic barriers to AI adoption:<sup>7</sup>

- **Lack of readiness erodes perceived value.** Many businesses lack foundational digital infrastructure and clear visibility into where AI creates value in their specific sector, making adoption feel abstract and risky.
- **Uncertainty amplifies perceived risks.** Concerns about data privacy, reliability, transparency, and evolving regulatory requirements reduce confidence and slow adoption.
- **Structural constraints impede implementation.** SMEs often lack the time, internal expertise, and financial flexibility to explore, access, and deploy AI while also managing day-to-day operations.

These challenges are unfolding amid evolving federal priorities on AI, industrial policy, and workforce funding, adding complexity to state planning and long-term economic development strategies.

## Unlocking SME demand in priority sectors

A central challenge to accelerating AI adoption is a lack of clarity, at both the state and firm level, about where to focus. Seventy percent of state leaders say their region lacks a clear understanding of which industries or sectors most need support to adopt AI technologies, constraining their ability to target interventions effectively.<sup>8</sup> Without that visibility, resources are often spread too thinly to shift outcomes.

At the same time, many SMEs remain uncertain about where to begin, and unclear about what AI adoption would mean for their specific sector, cost structure, and competitive position. When AI feels generic rather than industry-specific, hesitation persists.

A sector-based strategy with clear prioritization can address both gaps. By identifying priority industries and articulating the most relevant use cases, productivity opportunities, and adoption pathways for those sectors, states can focus enabling efforts where they matter most. Such efforts can catalyze demand for AI implementation support among SMEs that might otherwise delay or defer adoption.

## From barriers to action: How states are accelerating AI adoption

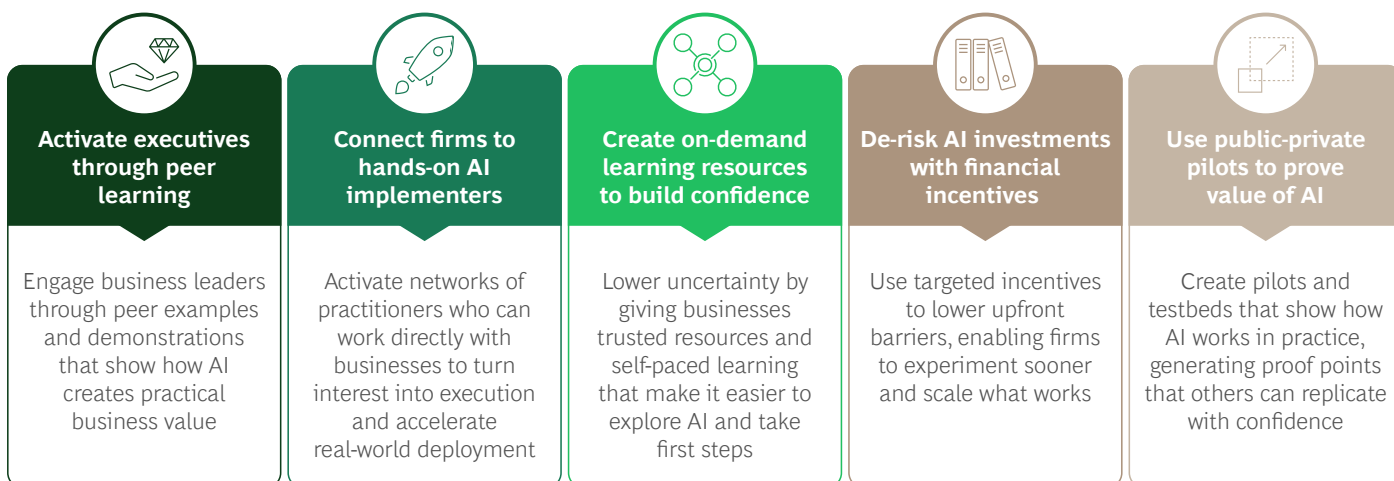
To support adoption, state leaders are increasingly focused on hands-on enablement, with more than 70% of leaders identifying training, technical assistance, or pilot programs among their top priorities.<sup>9</sup> Drawing on broader BCG research and emerging state practices, five actions stand out for translating AI ambition into real adoption, particularly among SMEs:

7. BCG AI Impact on States survey.

8. BCG AI Impact on States survey.

9. BCG AI Impact on States survey.

# Five steps states can take to drive AI adoption



## 1. *Activate executives through peer learning to showcase AI success stories*

For many smaller businesses, AI still feels abstract or relevant only to large firms. Shifting this perception will require visible CEO-level leadership and structured peer learning. When executives see credible peers deploying AI successfully—and hear directly how investments translate into productivity gains, cost savings, or revenue growth—AI moves from a theoretical opportunity to a practical business priority. Elevating CEO voices and sharing concise, outcome-focused impact stories makes AI's value tangible, particularly for SMEs that cannot afford prolonged experimentation.

Models such as the World Economic Forum's AI Governance Alliance illustrate how this can work in practice.<sup>10</sup> By convening business leaders to exchange deployment lessons, governance approaches, and measurable results, the Alliance creates a trusted platform for peer validation and shared learning. States and regions can apply a similar approach by activating CEOs as visible champions and establishing structured forums for ongoing exchange, demonstrating clear returns and accelerating movement from interest to implementation.

## 2. *Connect firms to hands-on AI implementers and student talent*

Even when firms see the value of AI, adoption often stalls at execution. Many SMEs lack hands-on implementation support to translate an idea into reality. States can address this by activating networks of AI implementers, or intermediaries with real-world experience who can work directly with firms to accelerate action.

This model can also create a win-win with post-secondary institutions. Purdue University's Data Mine program, for example, pairs undergraduate students with corporate and community partners to work on real-world data and AI projects.<sup>11</sup> Students gain experiential learning and industry exposure, while partner organizations receive practical analytics and AI support—helping smaller firms experiment and build new capabilities at lower cost.

10. World Economic Forum, "AI Global Alliance". <https://initiatives.weforum.org/ai-global-alliance/home>.

11. Purdue University, "The Data Mine helps Purdue students in Indianapolis build connections with industry partners", February 2025. [https://www.purdue.edu/teaching-learning/news/02\\_20\\_25.php](https://www.purdue.edu/teaching-learning/news/02_20_25.php).



# Partnering for Success

Louisiana's LA.IO (Louisiana Innovation) Growth Fund illustrates this approach at scale. Backed by a \$50 million public investment and private co-investment, LA.IO supports practical AI deployments across 5,000 SMEs by pairing capital with hands-on implementation support through a coordinated statewide network.<sup>12</sup> Five regional innovation hubs anchor delivery on the ground, working alongside university partners (e.g., LSU, the University of Louisiana System), local accelerators, and vetted AI providers to embed applied researchers and student project teams directly into firm-level projects. Strategic partnerships with technology providers such as AWS and Microsoft expand access to cloud infrastructure, technical expertise, and workforce training, ensuring SMEs are supported from experimentation through deployment.

Recent success stories include a humanoid robotics pilot with Persona AI at SSE Steel Fabrication, facilitated by LA.IO and supported by Greater New Orleans, Inc., placing advanced AI systems into a live industrial environment to generate real-world deployment data and validate use cases alongside skilled trades. By tying financial incentives to hands-on technical assistance, sector prioritization, and real-world pilots, the model reduces execution risk for SMEs and ensures public dollars translate into measurable operational adoption rather than isolated experimentation.

### 3. Create on-demand learning resources to help SMEs gain confidence

Many SMEs lack the time, resources, or internal capacity to train staff on new tools and ways of working. States can address this by expanding access to practical, trusted learning resources that help businesses build baseline skills and confidence without requiring significant upfront investment. This can include centralized libraries that consolidate guides, best practices, use cases, and local contacts, alongside free, on-demand AI literacy and skills training delivered statewide through hyperscaler and academic partnerships.

Several regions are already putting this model into practice. In New York, the Entrepreneur AI Technical Assistance Program funds a specialist center that provides AI literacy, one-on-one advising, and tailored curricula to help SMEs understand where AI can deliver real business value.<sup>13</sup> Similarly, the United Kingdom launched an AI Skills Hub with free training for all adults, with a targeted focus on reaching SMEs.<sup>14</sup> The program provides accessible, self-paced online courses that build foundational understanding of AI tools and their business applications. By lowering barriers to AI skills development, such initiatives help SMEs reduce uncertainty, build readiness, and take initial steps toward adoption.

12. Louisiana Economic Development, "State of Louisiana Launches Innovation Brand, Announces Creation of \$50 Million Growth Fund and Artificial Intelligence Research Institute", February 2025.

<https://www.opportunitylouisiana.gov/news/state-of-louisiana-launches-innovation-brand-announces-creation-of-50-million-growth-fund-and-artificial-intelligence-research-institute>.

13. Empire State Development, "Entrepreneur AI Technical Assistance Program, RFA", November 2025.

<https://esd.ny.gov/doing-business-ny/requests-proposals/entrepreneur-ai-technical-assistance-program-rfa>.

14. Gov.uk, "Free AI training for all, as government and industry programme expands to provide 10 million workers with key AI skills by 2030", January 2026. <https://www.gov.uk/government/news/free-ai-training-for-all-as-government-and-industry-programme-expands-to-provide-10-million-workers-with-key-ai-skills-by-2030>.

#### 4. *De-risk AI investments with targeted financial incentives*

Even when the value case is clear, upfront costs can deter experimentation, particularly for SMEs operating on thin margins. Unlike large firms that can spread AI investments across greater revenues, SMEs face higher per-unit costs for compute, training, and infrastructure upgrades, and must fund it all upfront with no guarantee of when, or whether, they will see a return. Lowering these financial barriers to adoption makes it easier for businesses to try AI sooner and decide what is worth scaling.

States are already doing this through targeted financial incentives. In Michigan, the Industry 4.0 Technology Implementation Grant reimburses up to 50% of AI and automation investments by SMEs.<sup>15</sup> North Dakota has taken a similar approach through its Automation Equipment Tax Credit, which allows manufacturers to claim up to 20% of the cost of equipment used to automate production processes. Such incentives reduce downside risk while accelerating learning and adoption.<sup>16</sup>

#### 5. *Use public–private pilots to demonstrate AI in real-world settings*

Seeing AI work in practice is often the most powerful catalyst for adoption. Public–private pilots and living labs allow firms to validate use cases, test technologies, and build trust before committing capital. For instance, Georgia’s AI in Manufacturing initiative connects small manufacturers to the testing infrastructure and student talent of Georgia Tech to give firms access to resources they could not afford independently.<sup>17</sup> In one case, a student intern funded through the program used AI to analyze a family-owned business’s shipping data, surfacing insights that reduced annual shipping costs by several thousand dollars.<sup>18</sup>

Similarly, North Dakota’s Grand Farm and Dakota Smart Farm initiatives provide “living labs” where farmers and agtech companies can test AI and precision farming technologies under real field conditions.<sup>19</sup> This program has a specific focus on retrofit solutions that upgrade existing equipment rather than replacing it, keeping adoption within reach for smaller farmers operating on tight margins.<sup>20</sup> These pilots generate tangible proof points that can be replicated across regions and industries.

Together, these actions mark a shift from intent to impact. By focusing on practical enablement, states can accelerate AI adoption in ways that are scalable, durable, and inclusive—especially for the small and medium-sized businesses that anchor their economies.

15. Michigan Economic Development Corporation, “Industry 4.0 Technology Implementation Grant”, <https://www.michiganbusiness.org/industry4-0/grant/>.

16. North Dakota Department of Commerce, “Tax Incentives”, <https://www.commerce.nd.gov/economic-development-finance/finance-and-incentives/tax-incentives>.

17. Georgia Artificial Intelligence in Manufacturing, “AI Manufacturing Pilot Facility (AI-MPF)”. <https://georgiaaim.org/project/ai-manufacturing-pilot-facility-ai-mpf/>.

18. Georgia Artificial Intelligence in Manufacturing, “AI Innovation Delivers Success for Albany Pecan Company”. <https://georgiaaim.org/ai-innovation-delivers-success-for-albany-pecan-company/>.

19. Werner, John, “The Tractors Drive Themselves: Innovation In Fargo”, Forbes, September 2025. <https://www.forbes.com/sites/johnwerner/2025/09/26/the-tractors-drive-themselves-innovation-in-fargo-nd/>.

20. Grand Farm, “AGCO Announces Test Farm in North Dakota as a Grand Farm Anchor Tenant”, September 2023. <https://grandfarm.com/agco-announces-test-farm-in-north-dakota-as-a-grand-farm-anchor-tenant/>.

## Final Thoughts

For states and regions across the U.S., the promise of AI lies not just in higher productivity, but in full participation in the next wave of economic growth.

Large firms are already moving quickly to capture this opportunity. The key question is whether small and medium-sized businesses are positioned to move with them. When SMEs adopt and scale AI effectively, the gains extend beyond individual firms to strengthen local supply chains, boost workforce resilience, and support long-term regional competitiveness.

The AI economy is now being built. The question for state leaders is simple: will their SMEs help to shape it—or lag behind, and be left to navigate its consequences?

*This is the first article in our **“Are US States and Regions Ready for the AI Economy?”** series on AI enablement in U.S. states. It draws on research surveying economic and workforce development leaders to examine how states are advancing AI across key economic development dimensions. Read the [full report here](#) to learn about the transformative actions states and regions can take to strengthen their AI efforts.*



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